

S&P GLOBAL — DATA CONSULTANT INTERVIEW

COMPLETE VALUATION, FINANCIAL MODELLING & CONCEPTS REPORT

Prepared for: Apoorva Singh | Companies: Infosys · HUL · HDFC Bank

HOW TO USE THIS REPORT

Read it in order. Part 1–3 build your foundation (macro, terms, valuation logic). Parts 4–6 are the three company deep-dives. Parts 7–9 are interview Q&A and mock prep. Everything you say from this is TRUE because you will have genuinely understood it.

Your interviewer is a Senior Manager at S&P Global with a Master's in Finance. This means:

- Expect **conceptual depth**, not just definitions. He'll ask "why," not just "what."
- He'll **follow up** 2–3 layers deep. Know the logic behind each formula.
- Use **precise terminology** (constant currency, capital-structure neutral, justified P/B).
- It's OK to say "my understanding is..." — intellectual honesty beats bluffing with a finance expert.

NIGHT-BEFORE TOP PRIORITIES

1. The 3 valuation methods and WHEN to use each (DCF / Comps / DDM-P-B).
2. Why banks are valued differently (deposits = raw material).
3. EV, EBITDA, P/E, EV/EBITDA — the *intuition*, not just formulas.
4. The connection between the 3 financial statements + depreciation walk-through.
5. Your honest HDFC story (tried DCF → learned banks differ → studied the right framework).
6. Current macro: RBI repo 5.25%, FY27 GDP ~6.6%, inflation ~5.1%.

PART 1 — TOP-DOWN ("FUNDAMENTAL MACRO-DRIVEN") ANALYSIS

This term = **top-down analysis**: start broad (economy), narrow to industry, then company, then valuation.

MACRO (economy) → INDUSTRY → COMPANY (fundamentals) → VALUATION

Level	What you examine
Macro	GDP, inflation, interest rates, currency, government policy
Industry	Growth rate, competition, regulation, demand drivers
Company	Revenue, margins, ROE/ROCE, debt, management, moat
Valuation	DCF, comps, P/E, P/B — cheap or expensive?

CURRENT INDIA MACRO (as of June 2026) — memorize this

- **RBI repo rate: 5.25%** (held at the June 5, 2026 MPC meeting; neutral stance). Governor: Sanjay Malhotra.
- **GDP growth FY27 forecast: 6.6%** (cut from 6.9% due to West Asia conflict, elevated oil prices, monsoon risk).
- **Inflation FY27 forecast: 5.1%** (raised from 4.6%). India had briefly seen historic-low inflation (~0.25% in Oct 2025) and strong Q2 FY26 GDP of ~8.2%, but risks have since risen ("Goldilocks moment dimming").
- **Key risks:** geopolitical (West Asia), oil prices, weaker rupee, global slowdown affecting IT exports.

How macro connects to your 3 companies:

- **Infosys (IT):** Depends on US/Europe client spending + USD/INR. Weak rupee = good (earns in \$). Global slowdown / rate environment = risk to discretionary IT spend.
- **HUL (FMCG):** Depends on domestic consumption, rural demand recovery, inflation (input costs like palm oil). Lower inflation helps margins; rural recovery helps volumes.
- **HDFC Bank:** Depends on interest rate cycle (affects NIM), credit growth, deposit competition. Rate cuts can pressure margins short-term but boost loan demand.

PART 2 — GLOSSARY: EVERY TERM YOU NEED

A. Income Statement (P&L) terms — top to bottom

- **Revenue / Sales / Turnover** — total money earned from selling goods/services. "Top line."
- **COGS (Cost of Goods Sold)** — direct costs to produce what you sold.
- **Gross Profit** = Revenue – COGS. Profit before operating overheads.
- **Operating Expenses (SG&A)** — Selling, General & Administrative costs (salaries, rent, marketing).
- **EBITDA** — Earnings Before Interest, Tax, Depreciation, Amortization. Proxy for operating cash earnings (see Part 3).
- **Depreciation** — spreading the cost of a tangible asset (machine) over its life. Non-cash.
- **Amortization** — same idea for intangible assets (patents, goodwill). Non-cash.
- **EBIT / Operating Profit** = EBITDA – D&A. Profit from core operations.
- **Interest Expense** — cost of debt.
- **EBT (Pre-tax profit)** = EBIT – Interest.
- **Tax** — corporate income tax.
- **Net Income / PAT (Profit After Tax)** — "bottom line." What's left for shareholders.
- **EPS (Earnings Per Share)** = Net income / shares outstanding.

B. Balance Sheet terms (Assets = Liabilities + Equity)

- **Assets** — what the company owns. Current (cash, receivables, inventory) + Non-current (PP&E, intangibles).
- **PP&E** — Property, Plant & Equipment (fixed assets).
- **Liabilities** — what it owes. Current (payables, short-term debt) + Non-current (long-term debt).
- **Equity / Shareholders' Funds** — owners' stake = share capital + retained earnings.
- **Retained Earnings** — accumulated profits not paid as dividends.
- **Working Capital** = Current Assets – Current Liabilities. Short-term operating liquidity.
- **Book Value** — equity value on the balance sheet (assets – liabilities).
- **Goodwill** — premium paid above fair value in an acquisition (intangible).

C. Cash Flow Statement terms (3 sections)

- **CFO (Operating)** — cash from core business; starts with net income, adds back non-cash items (depreciation), adjusts working capital.
- **CFI (Investing)** — buying/selling long-term assets; includes **CapEx** (capital expenditure).
- **CFF (Financing)** — raising/repaying capital; debt, equity issuance, dividends.
- **Free Cash Flow (FCF)** = CFO – CapEx. Cash truly available to investors.

D. Profitability & return ratios

- **Gross Margin** = Gross Profit / Revenue.
- **Operating (EBIT) Margin** = EBIT / Revenue.
- **Net Margin** = Net Income / Revenue.
- **ROE (Return on Equity)** = Net Income / Shareholders' Equity. Return on owners' money.
- **ROA (Return on Assets)** = Net Income / Total Assets.
- **ROCE (Return on Capital Employed)** = EBIT / Capital Employed. Return on all long-term capital.
- **Asset Turnover** = Revenue / Total Assets. Efficiency of asset use.
- **DuPont Analysis** — breaks ROE into: Net Margin × Asset Turnover × Financial Leverage. Shows WHAT drives ROE.

E. Leverage & liquidity ratios

- **Debt-to-Equity** = Total Debt / Equity. Leverage level.
- **Interest Coverage** = EBIT / Interest Expense. Ability to service debt. >3 healthy.
- **Current Ratio** = Current Assets / Current Liabilities. Short-term solvency.
- **Quick Ratio** = (Current Assets – Inventory) / Current Liabilities.

F. Valuation terms

- **Market Cap** = Share price × shares outstanding. Equity value only.
- **Enterprise Value (EV)** = Market Cap + Debt – Cash. Whole-business value (see Part 3).
- **P/E Ratio** = Price / EPS. Price paid per ₹1 of earnings.
- **P/B Ratio** = Price / Book Value per share. Used for banks.
- **EV/EBITDA** — capital-structure-neutral valuation multiple.
- **EV/Sales** — used for loss-making companies.
- **PEG Ratio** = P/E ÷ growth rate. P/E adjusted for growth (~1 = fair).
- **WACC** — Weighted Average Cost of Capital. Blended cost of debt + equity; the DCF discount rate.
- **CAPM** — Cost of Equity = $R_f + \beta(\text{ERP})$. R_f = risk-free rate, β = beta, ERP = equity risk premium.
- **Terminal Value** — value of all cash flows beyond the forecast period.
- **Constant Currency (CC)** — growth stripped of FX effects; shows real underlying growth.

G. Banking-specific terms (for HDFC)

- **NII (Net Interest Income)** = Interest earned – Interest paid.
- **NIM (Net Interest Margin)** = NII / Average interest-earning assets. Core lending profitability.
- **CASA Ratio** = (Current + Savings deposits) / Total deposits. Higher = cheaper funding.
- **CD Ratio (Credit-Deposit)** = Loans / Deposits. Liquidity/aggressiveness gauge.
- **GNPA / NNPA** — Gross / Net Non-Performing Assets %. Asset quality.

- **Provisions** — money set aside for expected loan losses.
- **PCR (Provision Coverage Ratio)** — % of bad loans covered by provisions.
- **CAR / CRAR (Capital Adequacy Ratio)** = Capital / Risk-Weighted Assets. Regulatory cushion.
- **Slippage** — loans turning into NPAs.

PART 3 — VALUATION METHODS & MULTIPLES (THE INTUITION)

A. The three approaches

1. **DCF (intrinsic)**: value = present value of future free cash flows. Bottom-up, based on the company's own economics.
2. **Comps (relative)**: value the company like its peers, using multiples (P/E, EV/EBITDA).
3. **DDM / P-B (for banks)**: value equity directly via dividends or book value × ROE logic.

B. EBITDA — the concept

EBITDA strips out the "noise" of **financing (interest), taxes, and accounting (depreciation/amortization)** to show the **raw operating earning power** of a business. Two identical bakeries with different debt, tax rates, and oven ages will have very different net profit but similar EBITDA — letting you compare the operations themselves.

- **Weakness**: ignores real CapEx needs and debt. Depreciation IS a real economic cost. So EBITDA flatters capital-heavy firms; it's a comparison tool, not "true profit."

C. Enterprise Value (EV) — the concept

EV = the **all-in cost to buy the whole business**. Market cap is only the equity. If you buy a company you also **take on its debt** and **keep its cash**:

EV = Market Cap + Debt – Cash.

Home analogy: a flat "worth" ■1cr with a ■40L loan and ■10L cash inside truly costs you $100 + 40 - 10 = \text{■}1.3\text{cr}$ to own outright. EV is **capital-structure neutral** — that's its power.

D. EV/EBITDA — why we pair them

- EV = value to ALL investors (debt + equity).
- EBITDA = earnings to ALL investors (before interest paid to debt).
- They're a **matched pair**, both measured *before* the effect of debt → apples-to-apples regardless of how a company is financed.

Use it for: companies with different debt levels, different tax regimes, capital-intensive sectors, and M&A.

E. P/E Ratio — the concept

Three ways to understand it:

1. "How much do I pay for ■1 of profit?" (P/E 25 = ■25 per ■1 earnings).
2. Rough "payback period" in years if earnings stayed flat.
3. **Expectations gauge** — high P/E = market expects strong, durable growth and low risk.

Key nuance: a high P/E isn't automatically expensive; a quality, fast-growing, low-risk firm *deserves* a higher P/E.

Compare to peers and own history. **Use PEG** ($P/E \div \text{growth}$) to adjust for growth.

Weakness: distorted by debt and one-offs; meaningless if earnings are negative.

F. Which multiple when?

Situation	Multiple
Same-industry equity comparison	P/E
Different debt levels / capital-intensive / M&A	EV/EBITDA
Loss-making / pre-profit	EV/Sales
Banks & financials	P/B and P/E (NOT EV/EBITDA)

G. DCF — the mechanics

1. Project Free Cash Flow (5–10 yrs).
2. Discount rate = WACC. (CAPM for cost of equity: $K_e = R_f + \beta \cdot ERP$.)
3. Discount each year's FCF to present value.
4. Terminal Value = $FCF \times (1+g)/(WACC-g)$, then discount it back.
5. Sum PVs = Enterprise Value → minus net debt = Equity Value → ÷ shares = intrinsic price.
6. Sanity-check vs market price.

H. Comparable Company Analysis (Comps) — the 5 steps

1. Select peer group (same industry, size, growth, margins, geography).
2. Gather financials (Capital IQ, annual reports).
3. Calculate each peer's multiples (P/E, EV/EBITDA).
4. Take the **median** (robust to outliers — say this!).
5. Apply median multiple to target's metric → implied value.

DCF answers "what *should* it be worth?"; Comps answers "what is the market *paying* for peers?" Use both and triangulate.

PART 4 — INFOSYS (IT SERVICES) — FULL REPORT

A. Business model

India's #2 IT services firm. Earns from software development, consulting, digital & AI services. Clients mostly in **US (~60%) and Europe**, billed largely in **USD**. **Asset-light** (people-driven), generates large free cash flow → ideal DCF candidate.

B. Macro & industry context

- IT demand tied to global (esp. US/Europe) corporate tech spending. Discretionary spend is soft amid global uncertainty.
- **AI is the swing factor**: GenAI is both an opportunity (new deals) and a risk (pricing pressure on traditional work).
- Weak rupee benefits reported revenue/margins.

C. FY26 actuals (year ended March 2026)

- **Revenue: \$20,158 mn** (+3.1% constant currency) — crossed \$20bn for the first time.
- **Operating margin: 20.3% reported (21.0% adjusted).**
- **Net profit: ₹29,440 cr**; EPS ~₹71.6.
- **Large deal wins (TCV): \$14.9 bn**; **Free Cash Flow: \$3.7 bn.**
- **FY27 guidance: revenue growth 1.5%–3.5% CC, operating margin 20%–22%.**
- Note: Q3 FY26 had a one-off ₹1,289 cr charge from new labour codes (gratuity/leave provisions).
- (Source: Infosys FY26 results, April 23, 2026; figures rephrased for compliance.)

D. DCF valuation (worked illustration)

Base FCF ≈ ₹31,000–34,500 cr. Assume ~8% growth, WACC 12% (near debt-free, so $WACC \approx K_e = 6.5\% + 0.9 \times 6\% = 12\%$), terminal growth 5%.

Y	FCF (₹ cr)	DF@12%	PV (₹ cr)
1	37,268	0.893	33,275
2	40,279	0.797	32,072
3	43,460	0.712	30,943
4	46,936	0.636	29,852
5	50,692	0.567	28,742
	Sum PV		≈154,884

Terminal Value = $50,692 \times 1.05 / (0.12 - 0.05) \approx ₹760,000\text{cr}$; $PV = \times 0.567 \approx ₹431,000\text{cr}$.
 EV ≈ 154,884 + 431,000 = **₹586,000cr**; + net cash (~₹35,000cr) → equity ≈ ₹621,000cr ÷ ~414cr shares ≈ **₹1,500/share**. Sanity check: trades ~₹1,500–1,600. ■

E. Comps (IT peers — P/E and EV/EBITDA)

Company	~EV/EBITDA
TCS	25.6x
Infosys	24.5x
HCLTech	22.3x
Wipro	19.2x
Tech Mahindra	20.1x
Median	~23.4x
Apply ~23x to EPS ~₹71.6 → ~₹1,650/share implied. (Verify live multiples on screener.in.)	

F. Earnings call transcript — what to look for & recent themes

- Structure: safe harbor → management remarks → analyst Q&A (the gold). For Infosys watch:
- **Revenue growth guidance (CC)** — most-watched. FY27 set at 1.5–3.5%.
 - **Operating margin band** (20–22%).

- **Large deal TCV** — pipeline of future revenue (\$14.9bn FY26).
- **Attrition** — wage pressure signal.
- **Vertical commentary** — BFSI, retail, manufacturing demand.
- **AI/GenAI** — deal impact, productivity, pricing.

Recent narrative: resilient but modest growth, AI-led positioning, cautious-but-improving demand, strong cash generation.

G. Annual report — key sections

MD&A (strategy/outlook), segment revenue by geography & vertical, margin walk, cash flow (confirm FCF), capital allocation (Infosys returns ~85% of FCF via dividends + buybacks).

H. Infosys Q&A

- **Why DCF for Infosys?** Asset-light, stable, predictable FCF → reliable intrinsic value.
- **Biggest risk to the valuation?** Slower revenue growth (soft discretionary spend), margin pressure (wages/AI pricing).
- **Weak rupee effect?** Positive — earns in USD, reports in INR.
- **What is constant currency?** Growth excluding FX effects → real underlying business growth.
- **What does \$14.9bn TCV signal?** Strong future revenue visibility.

PART 5 — HUL (FMCG) — FULL REPORT

A. Business model

India's largest FMCG company — everyday products (Home Care, Beauty & Wellbeing, Personal Care, Foods & Refreshment). **Stable, recurring demand**, high margins, **virtually debt-free**, asset-light. Growth = **volume + price/mix**. Clean DCF candidate.

B. Macro & industry context

- Tied to domestic consumption, especially **rural demand** recovery.
- **Input costs** (palm oil, crude derivatives) drive gross margin; lower inflation helps.
- Theme: **premiumization** (shift to higher-value products) and rural revival.

C. FY25 actuals (year ended March 2025)

- **Turnover:** **₹60,680 cr** (+2%); FY26 ~**₹63,763 cr**.
- **PAT:** **₹10,644 cr** (+5%), net margin ~17.5%.
- **EBITDA margin:** ~23%. **ROCE:** ~108% (asset-light, brand-driven).
- **CFO:** **₹13,789 cr**. **Debt:** ~zero. EPS ~**₹45.3**, DPS **₹53**.
- (Source: HUL FY25 results; figures rephrased for compliance.)

D. DCF valuation (worked illustration)

FCF ≈ CFO **₹13,789cr** – capex ~**₹1,300cr** ≈ **₹12,500cr**. Growth ~9%, WACC ~11% ($K_e = 6.5\% + 0.65 \times 6\% \approx 10.4\%$, defensive low beta), terminal g 5.5%.

$\sum \frac{FCF_t}{(1+DF)^t}$ @11%

PV (₹cr)

1	13,062	12,275
2	14,085	12,059
3	16,181	11,833
4	17,065	11,628
5	19,233	11,405
	Sum PV	≈59,200

TV = $19,233 \times 1.055 / (0.11 - 0.055) \approx \text{■}369,000\text{cr}$; PV ≈ ■219,000cr. EV ≈ ■278,000cr.

Key insight: HUL's actual market cap (~■5.3 lakh cr) is far higher than this base-case DCF. That's because the market prices in a longer high-growth runway, premium brand moat, and very low risk for a quality compounder. **Lesson: DCF is assumption-sensitive and can understate quality franchises — complement it with relative valuation (P/E).**

E. Comps (FMCG peers)

Company	~ EV/EBITDA
Nestlé India	60-65x
HUL	50-55x
Britannia	50-55x
Dabur	45-50x
Marico	45-50x
Median	~50x
FMCG trades far above IT (~24x) due to predictable demand, asset-light models, ROCE >100%, low risk. Market pays a premium for quality and predictability .	

F. Earnings call transcript — what to look for

- **UVG (Underlying Volume Growth)** — THE key FMCG metric (are people buying more units?).
- **USG (Underlying Sales Growth)** = volume + price.
- **Rural vs urban demand** commentary.
- **Gross margin / raw material** cost trends.
- **A&P spend** (advertising & promotion).
- **Premiumization** progress.

Recent narrative: modest volume growth, gradual rural recovery, margin management amid input costs.

G. Annual report — key sections

Segment performance (4 divisions), volume-vs-price split, distribution & digital reach, high dividend payout.

H. HUL Q&A

- **Why might DCF undervalue HUL?** A 5-yr DCF with conservative growth can't capture HUL's durable growth, brand moat, and low risk; the market assigns a premium multiple.

- **Most important FMCG metric?** Underlying volume growth — real demand, independent of price hikes.
- **Why is ROCE so high?** Asset-light, brand-driven → large profits on small capital base.

PART 6 — HDFC BANK — FULL REPORT (BANKS ARE DIFFERENT)

A. Why banks need a different framework

For a bank, **deposits (debt) are the raw material**, not a financing choice, and interest is a core operating item. So **FCF and EV/EBITDA are meaningless**. Value the **equity directly** using:

1. **DDM (Dividend Discount Model)**
2. **Excess Return / Residual Income model**
3. **Justified P/B** based on ROE vs cost of equity.

B. Business model

India's largest private bank. Earns mainly **Net Interest Income** (loan interest – deposit interest) + fee income. HDFC Ltd (the mortgage parent) merged into the bank in July 2023, making it much larger and elevating its CD ratio.

C. Key metrics (recent) — KNOW THESE

Metric	HDFC Bank
NIM	Lending profitability improved toward ~3.35–3.5%
CASA ratio	Lowest deposit share declined from ~38% — deposit competition a key challenge)
CD ratio	Loan/Deposit down to ~96% from ~110% at merger; targeting lower

Deposits	■27.15 lakh cr (FY25, +14.1%) — grew 2.5× faster than loans
Advances	■26.43 lakh cr (FY25, +5.4%)
GNPA / NNPA	Assets quality ~0.4% (very clean)
ROA	~1.8–1.9% (excellent for a bank)
ROE	~14–17%
CAR	Capital cushion above ~11.5% minimum
- Q4FY25 net profit ■17,616 cr (+6.7% YoY), NII +10%.	
- Big story: deliberately growing deposits faster than loans to normalize CD ratio post-merger; CEO sees faster loan growth by FY27.	
- (Sources: HDFC Bank FY25/Q-updates; figures rephrased for compliance.)	

D. Dividend Discount Model (DDM)

Value per share = $D / (K_e - g)$.

- **Ke (CAPM):** $6.5\% + 1.0 \times 6\% = \sim 12.5\text{--}13\%$ (bank beta ~ 1.0).

- **g = ROE × retention ratio.**

- **Catch:** HDFC's g ($\sim 12\text{--}14\%$) approaches K_e ($\sim 13\%$), which breaks single-stage Gordon (denominator $\rightarrow \sim 0$). **So use a two-stage DDM** (high growth 5–7 yrs, then stable terminal). Mentioning this shows real understanding.

E. Justified P/B — the core bank valuation tool

$P/B = (ROE - g) / (K_e - g)$.

Example: ROE 16%, g 10%, K_e 13% $\rightarrow (0.16 - 0.10) / (0.13 - 0.10) = 2.0\times$.

Logic: a bank earning ROE > cost of equity should trade above book ($P/B > 1$). Higher ROE vs $K_e \rightarrow$ higher justified P/B. HDFC trades $\sim 2.5\text{--}2.8\times$ book — premium for clean book, strong franchise.

F. Comps (bank peers — P/B and P/E, NOT EV/EBITDA)

Bank	P/B	P/E	ROE
ICICI Bank	~3.0x	~18x	~17%
HDFC Bank	~2.5x	~15x	~17%
Kotak Mahindra	~2.5x	~14x	~14%
Axis Bank	~1.8x	~12x	~10%
SBI	~1.5x	~10x	~10%
P/B differences are explained by ROE differences and franchise quality. SBI (PSU) trades near book; HDFC/ICICI command premiums.			

G. Earnings call transcript — what to look for

- **NIM trajectory** (rate-cycle dependent).
- **CD ratio reduction progress** (the post-merger headline).
- **CASA growth** (deposit mobilization — top priority).
- **Loan/deposit growth guidance.**
- **Asset quality** (slippages, GNPA trend).
- **Credit costs / provisions.**

H. Annual report — key sections

Advances & deposits growth, asset quality tables (GNPA/NNPA/PCR), CAR, retail-vs-wholesale mix, post-merger integration commentary.

I. HDFC / banking Q&A

- **Why can't you DCF a bank?** Deposits are raw material; interest is core operating; FCF/EV meaningless. Use DDM / residual income / justified P/B.
- **What is NIM?** (Interest earned – paid)/avg earning assets. Core lending profitability (~3.4–3.5%).
- **High CASA tells you?** Cheaper funding → supports NIM. HDFC ~34%, growing it is a priority.
- **Why did CD ratio spike?** HDFC Ltd merger added loans without matching deposits; bank is normalizing it (~96% now).
- **Why does a bank trade above book value?** Because ROE > cost of equity — justified P/B = (ROE–g)/(Ke–g).

PART 7 — COMPREHENSIVE INTERVIEW Q&A BANK

A. Financial statements

- **Connect the 3 statements.** Net income → retained earnings (BS) + top of CF. Ending cash (CF) → cash (BS). Depreciation links IS→BS via CF. Assets = Liabilities + Equity always.
- **Depreciation +100 (30% tax), walk through.** IS: net income –70. CF: –70 +100 add-back = cash +30. BS: cash +30, PP&E –100 (net –70); retained earnings –70 → balances.
- **Where does CapEx go?** Investing. **Dividends?** Financing. **Depreciation?** Operating (add-back).

- **If depreciation rises, does asset value fall?** Yes — $\text{net book value} = \text{cost} - \text{accumulated depreciation}$ falls.

B. Valuation & multiples

- **DCF vs Comps?** Intrinsic vs relative; complementary; triangulate.
- **Why EV/EBITDA over P/E?** Capital-structure & tax neutral; matches whole-company value to whole-company earnings.
- **P/E of 70 — overvalued?** Not necessarily; reflects growth + low risk; check vs peers, history, PEG.
- **Why median, not mean, in comps?** Robust to outliers.
- **What is WACC?** Blended cost of debt + equity; DCF discount rate.
- **Most sensitive DCF inputs?** WACC and terminal growth rate.
- **What is terminal value?** Value of cash flows beyond forecast; often 60–80% of DCF value.

C. Ratios

- **EPS** = $(\text{Net income} - \text{pref div}) / \text{weighted avg shares}$. Basic vs diluted ($\text{diluted} \leq \text{basic}$).
- **Interest coverage** = $\text{EBIT} / \text{Interest}$. >3 healthy.
- **ROE vs ROA vs ROCE** — equity vs total assets vs total capital employed.
- **DuPont:** $\text{ROE} = \text{Net Margin} \times \text{Asset Turnover} \times \text{Leverage}$.

D. Markets & instruments (from earlier HR list)

- **Bond:** debt IOU; lender gets coupon + principal at maturity. Price moves inverse to rates.
- **Derivatives:** value derived from an underlying; for hedging/speculation. Types: forwards, futures, options, swaps.
- **Financial assets:** intangible claims (cash, stocks, bonds, derivatives) vs physical assets.
- **Equity & FX:** ownership shares; foreign-exchange currency market.
- **Capital IQ (CIQ):** S&P Global Market Intelligence's flagship data platform. **CIQ Estimates** = aggregated analyst consensus forecasts (revenue, EPS, EBITDA).
- **Debt vs Equity capital structure:** debt = borrowed (interest, tax-deductible, must repay, lower cost, higher risk); equity = ownership (no repayment, dividends, higher cost). Optimal mix minimizes WACC.

PART 8 — BEHAVIORAL, GAP & SENIOR-LEVEL QUESTIONS

A. Introduction (memorize)

"I'm Apoorva Singh, MBA in Finance & Business Analytics. I began as an Associate Analyst in EY's Strategy & Transaction team, working on market intelligence and financial analysis using tools like Capital IQ and Factiva. Since then I've deepened my valuation skills through independent financial research — building DCF models and analyzing companies across IT, FMCG, and banking. I'm drawn to this role because it combines financial data with precision and quality — and I've actually used S&P's own platforms like Capital IQ, so I understand why accurate data matters from the user's side."

B. The gap (brief, confident, pivot to what you did)

"My EY role gave me a strong analytical foundation. After that I stepped back from full-time work for personal reasons, but I deliberately kept my skills sharp through independent valuation research — going deep on DCF and comparable analysis across sectors. I'm now fully ready and very motivated to bring those sharpened skills back into a corporate

setting, and this role is the ideal fit."

C. "Overqualified for an entry contract role — why?"

"I see this as the right way to re-enter a domain I'm passionate about with a global leader. I can ramp up fast and add value from day one, and I'm committed to the 12-month engagement and growing within S&P."

D. Why S&P / Why this role

"S&P is the global leader in essential financial intelligence — ratings, indices like the S&P 500, and analytics. I've used its products as an analyst and respect the data quality. I want to contribute to and grow within that ecosystem."

E. Strengths / weakness

Strength: attention to detail, financial data fluency, analytical rigor, fast learner. Weakness: "I can be a perfectionist about accuracy — I've learned to balance it by respecting deadlines and prioritizing."

F. Senior-manager-level (expect these from a Finance master)

- "Walk me through how depreciation flows through all three statements." (Know cold — Part 7A.)
- "Why would a DCF and a comps valuation diverge, and which would you trust?" → Different assumptions vs market sentiment; reconcile both, investigate the gap.
- "How does a rate cut affect a bank's NIM?" → Short-term margin compression (loans reprice faster than deposits), but can boost loan demand.
- "Why do consumer staples trade at higher multiples than IT?" → Predictability, durability, low cyclicity, high ROCE.
- "What's the link between ROE and P/B for a bank?" → Justified P/B = $(ROE - g) / (K_e - g)$.
- "If you had to value a bank, what would you NOT use and why?" → Not DCF/EV-EBITDA — deposits are raw material.

G. The HDFC honesty story (use this — it's authentic and impressive)

"I started building a DCF for HDFC Bank and realized the FCF-based approach doesn't fit banks, because deposits are their raw material and interest is core to operations. That led me to learn the bank-specific framework — dividend discount and residual income models, and justified price-to-book against ROE, plus metrics like NIM, CASA, and CD ratio. It taught me to match the valuation method to the business model rather than apply one blindly."

H. Smart questions to ASK them

- "Which vertical would I likely be placed in given my background?"
- "What does success look like in the first 3–6 months?"
- "Are there pathways from this contract role to a permanent position at S&P?"
- "Which datasets and tools would I primarily work with?"

PART 9 — MOCK INTERVIEW SCRIPT (practice out loud)

1. Tell me about yourself. → (Part 8A)
2. Why the gap / short EY tenure? → (Part 8B)
3. Why S&P and why this entry-level role? → (Part 8C/D)
4. What is fundamental macro-driven analysis? → (Part 1)

5. Walk me through a DCF. → (Part 3G)
6. How would you value Infosys? → DCF (Part 4D) + comps.
7. Why might HUL's DCF be below its market cap? → (Part 5H)
8. How would you value HDFC Bank, and why differently? → (Part 6A/E)
9. What is NIM / CASA / CD ratio? → (Part 6C)
10. Explain EV, EBITDA, and why EV/EBITDA. → (Part 3B–D)
11. What does a high P/E mean? → (Part 3E)
12. Connect the 3 financial statements. → (Part 7A)
13. What is Capital IQ? → S&P's platform; CIQ Estimates = consensus forecasts.
14. Any questions for us? → (Part 8H)

FINAL MINDSET

You are a skilled finance professional who has used S&P's own products, choosing to re-enter through this role. Lead with substance, stay calm, and let your genuine understanding show. Everything in this report is true once you've studied it — so speak with quiet confidence. Good luck, Apoorva.